

IHH Healthcare Business Primer & Strategic Outline

1. Welcome Message & Primer Overview

Welcome to IHH Healthcare!

As a new recruit, you are joining one of the world's largest and most trusted healthcare networks. We operate over 140 healthcare facilities, including more than 80 hospitals, across 10 countries. Our global network is united by a single purpose: touching lives and transforming care for patients and communities worldwide.

Guided by our brand aspiration, **"Care. For Good."**, we balance sustainable, profitable growth with empathetic, high-quality care. The global healthcare landscape is experiencing a significant surge in demand, driven by an aging population and the escalating prevalence of chronic diseases. We proactively address this challenge by expanding our bed capacity, investing in cutting-edge medical technologies, and strengthening our operational efficiencies to ensure healthcare remains accessible and value-driven.

Our primary value proposition lies in our integrated healthcare network. We offer a full spectrum of services spanning primary, secondary, tertiary, and quaternary care, alongside complementary ancillary services like diagnostics and rehabilitation. By leveraging innovations such as artificial intelligence (AI) and robot-assisted surgeries across our prestigious hospital brands, we consistently set the gold standard in medical excellence and deliver world-class clinical outcomes

2. Company Identity

At IHH Healthcare, our identity is the North Star that guides our actions, strategy, and decision-making across all markets.

- **Our Purpose:** Touching lives, transforming care.
- **Our Vision:** To be the world's most trusted healthcare services network.
- **Our Core Values:**
 - Patients First: We put patients' needs first.

- Integrity: We do the right thing.
- Empathy: We listen with our hearts.
- Teamwork: We are better together.
- Excellence: We champion continuous improvement and innovation.

Our Strategic Framework (ACE):

To ensure we continue to grow and future-proof our organization, we operate on the ACE framework, which applies to every employee and facility:

- **Align to Propel Profitable Growth:** All IHH operations will be aligned with our aspiration to Care. For Good. and co-create a sustainable healthcare system.
- **Challenge to Transform:** We are challenging ourselves to transform and future-proof the organization by initiating projects to enhance process efficiencies.
- **Empower to Excel:** We adopt a localized approach, empowering all our markets and their operations to chart and drive their growth trajectories.

3. Market Landscape

Strategic Dimension	Description
Target Audience & Customer Segments	• Domestic Private Healthcare Consumers: Middle-to-upper-income individuals seeking high-acuity specialist care, complex surgeries and premium inpatient experiences across core markets. • International Medical Tourists: Foreign patients traveling for specialized care. Key growth engines include Malaysia and Türkiye. • Corporate & Institutional Payors: Employers, private health insurers, TPAs, and public health schemes seeking value-based care and transparent billing.
External Industry Trends & Drivers	• Demographic Shifts & Chronic Disease Load: Aging global populations and rising chronic disease prevalence are accelerating demand for tertiary/quaternary care.

	• Medical Inflation & Cost Pressures: Escalating operational expenses, nursing shortages, and rising supply costs spur payors and patients to demand price transparency and cost-effective clinical care. • Shift to Value-Based & Out-of-Hospital Care: Transition toward right-siting patient care by decanting lower-acuity cases to ambulatory care centres (ACCs), primary clinics, and homecare.
Problem Statement	Private and public healthcare systems face severe bed shortages, escalating medical inflation, acute staff shortages, and rising operational costs. Concurrently, patients encounter opaque pricing, delayed diagnoses, and fragmented care pathways for complex, high-acuity conditions.
Solution	• Capacity Expansion: Adding 4,000 operational beds by 2028 via brownfield developments and strategic acquisitions. • Care Continuum Integration: Decanting low-acuity cases to ambulatory care centres, primary clinics and homecare to free up acute hospital beds. • Advanced Tech Deployment: Integrating cutting-edge technology such as AI diagnostics, Proton Beam Therapy and da Vinci robotic systems to speed up diagnosis and improve surgical outcomes.
Competitor Analysis & Competitive Advantage	• Key Competitors: Regional private healthcare operators such as Ramsay Sime Darby, Sunway Healthcare, Bangkok Dusit Medical Services, Apollo Hospitals and local private providers across Southeast Asia, India, and Europe. • IHH's Competitive Advantage:

	– <i>Global Scale & Brand Equity</i>: \$>140\$ facilities across 10 countries with 8 premier hospital brands (Pantai, Gleneagles, Mount Elizabeth, Acibadem, Fortis, Island Hospital, Prince Court, Parkway). – <i>Medical Tourism Infrastructure</i>: Supported by 35 global Patient Assistance Centres capturing cross-border patient flows. – <i>Clinical Governance</i>: Multi-tiered Clinical Risk Assurance Framework tracking \$>200\$ Clinical Quality Indicators aligned with international benchmarks.
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4. Business Model Canvas (BMC)

The **Business Model Canvas (BMC)** is a single-page strategic blueprint created by Alexander Osterwalder that visually maps out how an organization creates, delivers, and captures value.

For new recruits, reviewing the **BMC** is the fastest way to gain a clear line of sight into the company's big-picture strategy and daily operational framework. Instead of digging through hundreds of pages in an annual report, the canvas breaks the business down into **9 core building blocks** showing you who our patients are (**Customer Segments**), what makes our care stand out (**Value Proposition**), how we deliver care (**Channels & Activities**), and what keeps our hospitals operating sustainably (**Resources, Partners, and Finances**).

Key Partners	Key Activities	Value Proposition	Customer Relationship	Customer Segment
• Medical Specialists: Expert doctors and consultants. • Insurers & Regulators: Ministry of Health and insurance companies. • Tech Partners: Suppliers of advanced medical tools and software.	• Clinical Care: Providing surgeries, emergency care, and treatments. • Quality Checks: Auditing safety standards and improving medical results. • Expansion: Upgrading existing facilities and building/acquiring new hospitals.	• Care. For Good.: Compassionate care backed by world-class safety. • Top Medical Tech: Access to robotics, AI, and modern cancer treatments. • Transparent Pricing: Clear bills and proven medical results.	• Patients First: Empathetic service from admission to recovery. • Empowered Care: Easy online access to health records for over 8 million people.	• Local Patients: People needing specialist or hospital care. • Medical Tourists: Overseas patients seeking treatment in Malaysia. • Insurers & Companies: Corporate health plans and insurance partners.
	Key Resources • Our People: Skilled doctors, nurses, and administrative staff. • Hospitals & Equipment: 3,500+ licensed beds in Malaysia and advanced medical tech.		Channels • Facilities: 18 hospitals across Malaysia, plus clinics and rehab centres. • Digital: Mobile apps like <i>MyHealth360</i> and online patient portals. • Global	

			Offices: 35 overseas assistance centres for international travelers.	
Cost Structure • Staffing & Salaries: Salaries, benefits, and staff training. • Supplies: Medicines, surgical equipment, and lab supplies. • Building & Tech: Hospital upgrades, new equipment, and solar power setups.		Revenue Stream • Hospital Services: Inpatient admissions, surgeries, and outpatient visits. • Lab Testing: Diagnostic test revenues from IHH Labs.		

5. Operations & Logistics

This section outlines the day-to-day mechanisms that keep our healthcare network running smoothly. For a new recruit, understanding our primary activities, resource allocation, and technological tools reveals how your daily contribution fits into our larger operational engine from frontline patient care to back-end digital support.

Primary Activities (Day-to-Day Operations):

- **Clinical Care Delivery:** Providing seamless medical services across emergency care, inpatient stays, complex surgeries, and specialized treatments.
- **Smart Out-of-Hospital Care:** Decanting lower-acuity cases to ambulatory care centers and homecare services (e.g., Parkway Homecare) so hospital beds remain open for complex cases.
- **Clinical Risk & Quality Audits:** Conducting regular safety checks and measuring treatment quality via the Clinical Risk Assurance Framework.

Resource Allocation:

- **Bed Capacity Management:** Managing over 10,000 licensed beds globally, including 3,558 licensed beds across 18 hospitals in Malaysia.
- **Talent Investment:** Continuous upskilling with over 1.2 million training hours achieved annually across clinical, nursing, and administrative teams.
- **Green Operations:** Transitioning facilities to renewable energy, including rooftop solar panel installations across Malaysian hospitals.

Technology Stack (Tools We Use):

- **AI-Assisted Diagnostics:** Imaging tools like *Annalise AI* that assist radiologists by identifying abnormalities in chest X-rays and brain CT scans in seconds.
- **Robotic Medical Tech:** Precision robotic surgery systems (such as *da Vinci*) and automated medication systems like *uniBOT* for repacking prescriptions safely.
- **Patient-Facing & Ward Apps:** Patient portals like the *MyHealth360* app and smart ward solutions (*LizWorld* and *LizFinder*) to keep patients informed during their stay.

6. Organizational Structure

This section details our leadership, reporting lines, and governance framework. For new recruits, it provides clarity on how strategic decisions flow from executive leadership down to hospital departments, and highlights the governance bodies ensuring quality and accountability.

Executive Leadership:



"As a trusted healthcare leader, IHH Healthcare is poised to reach greater heights in the coming years and beyond. With our commitment to excellence and innovation, we strive to deliver long-term value to all stakeholders, drive profitable growth and positively impact the markets we serve."

Tan Sri Dr Nik Norzrul Thani bin N Hassan Thani
Non-Executive Chairman

- **Board Chairman:** Tan Sri Dr Nik Norzrul Thani bin N Hassan Thani (oversees strategic direction and governance).



"IHH's consistently robust performance is a testament to our drive to remain a trusted global healthcare leader. Guided by our ACE strategic framework, we continue to deliver outstanding stakeholder value and drive innovation – all while putting patients at the heart of our actions."

Dr Prem Kumar Nair
Group Chief Executive Officer

- **Group CEO:** Dr Prem Kumar Nair (steers overall operations, global growth, and executive strategy).
- **Country Leadership:** Regional CEOs and Managing Directors who manage day-to-day operations in core markets like Malaysia, Singapore, India, and Türkiye.

Management Hierarchy & Operational Reporting:

- **Group Level:** Formulates global policy, corporate finance, investor relations, Group sustainability, and Enterprise Risk Management (ERM).
- **Country / Cluster Level:** Manages regional hospital networks, ensures local health ministry alignment, and oversees cluster synergies (e.g., Penang cluster integration).
- **Hospital Facility Level:** Led by Hospital Chief Executive Officers (CEOs) or Chief Operating Officers (COOs).
- **Departmental Teams:** Organized across Clinical Services (Doctors/Surgeons), Nursing, Ancillary Care (Labs, Pharmacy, Rehab), and Support Functions (HR, IT, Finance, Facilities).

Governance & Oversight Bodies:

- **Board Committees:** Audit Committee (AC), Risk Management Committee (RMC), Nomination and Remuneration Committee (NRC), and Investment Committee (IC).
- **Clinical Governance:** Medical Advisory Committees (MAC) in every hospital to monitor the Clinical Risk Assurance Framework and track Value-Driven Outcomes (VDO).

Talent Culture & Employee Well-Being (For New Recruits):

- **Our 3 Well-Being Pillars:** Grounded in WHO-aligned standards across **Culture** (safe OSH environments with zero workplace fatalities targets), **Workplace** (open communication and engagement surveys scoring 3% above global healthcare norms), and **Support** (mental health access).
- **Mental Health & Caregiver Support:** Access to the **Intellect app** (offering 24/7 confidential helplines, 1-to-1 coaching, and self-care modules across 24,000+ employees), *Well-Being Moments* digital spaces, and trained internal **Mental Health First Aiders**.
- **Learning & Career Development:** Continuous upskilling supported by over 1.2 million training hours annually, leadership programs like *I.GLOBE* (Global Leadership of Business Enterprise), and nursing pathways like *Project Nightingale* (which expanded global nursing talent by 14%).

7. Sustainability, ESG & Social Impact

Care for the Planet & Our Communities At IHH Healthcare, our aspiration to "Care. For Good." extends beyond the walls of our hospitals. We believe that driving business growth must go hand-in-hand with environmental stewardship and social responsibility.

- **Net-Zero by 2050:** We are firmly committed to capping our carbon footprint and achieving net-zero emissions by 2050.
- **Renewable Energy:** We are the first private healthcare provider in Malaysia to transition our hospitals to solar power. Most of our Malaysian hospitals are already fitted with solar panels, and the full rollout will be completed by 2025.
- **Life Renewed:** Through this community initiative, we have provided free cancer treatments to 946 patients in Malaysia since 2023.
- **Fighting the Hidden Pandemic:** We are the first private hospital network in Asia to implement Antimicrobial Resistance (AMR) interventions across all our

hospitals, aligning with CDC guidelines to optimize antibiotic use and prevent infections.

8. Your Growth & Onboarding Journey

Phase	Timeline	Core Focus Area	Key Strategic milestone
Near-Term	2025-2026	M&A Integration, Refurbishment & Solar Rollouts	• M&A Integration & Asset Optimization: Fully integrate newly acquired assets into the Malaysia network to unlock operational and medical tourism synergies. • Hospital Refurbishment: Complete the accelerated <i>Project Renaissance</i> renovation at Mount Elizabeth Hospital in Singapore. • Facility Launches: Operationalize newly opened facilities including Fortis Hospital Manesar and Acibadem Kartal Hospital. • Clinical Excellence & Billing: Scale Value-Driven Outcomes (VDO) tracking to 360 quality indicators and maintain $\geq 90\%$ billing estimate accuracy across core markets using tools like FeeAdvisor.ai. • Sustainability Initiatives: Operationalize the large-scale solar farm in Türkiye (supplying up to 80% of Acibadem's annual electricity needs), complete

			rooftop solar rollouts across 16 Malaysian hospitals, and publish initial IFRS S2 climate disclosures while keeping Scope 1 & 2 emissions capped at 2022 baselines.
Mid-Term	2027-2028	Bed Expansion, Out-of-Hospital Growth & Scope 3 Accounting	Operational Bed Targets: Complete the target of adding 4,000 operational beds globally by 2028. • Greenfield Construction: Complete construction and launch the new 200-bed Gleneagles Hospital Kuching in East Malaysia. • Healthcare Continuum Expansion: Open new Ambulatory Care Centres (ACCs) in Royal Square and Tong Building and Shanghai to decant lower-acuity cases. • Primary & Community Care: Expand primary care and homecare services. • Diagnostics & Digital Transformation: Scale IHH Laboratories as a standalone growth driver and complete Electronic Medical Record (EMR) rollouts across IHH Malaysia hospitals. • Supply Chain Decarbonization: Finalize Scope 3 greenhouse gas baselining across material supply chain categories and establish validated Science Based Targets

			initiative (SBTi) frameworks.
Long-Term	2029-2050	Precision Ecosystem & Net-Zero 2050 Realization	• AI-Driven Precision Care: Fully integrate AI predictive care, robotic surgery, and genomic diagnostics into routine clinical pathways across all 10 operating markets. • Unified Digital Platform: Establish a seamless digital-first patient experience, unifying pre-admission, inpatient management, telehealth, and post-discharge homecare through global platforms. • Complete Regulatory Compliance: Achieve full Scope 1, 2, and 3 GHG disclosures fully aligned with IFRS S1 and S2 standards. • Net-Zero Achievement: Execute long-term decarbonization and climate resilience roadmaps to achieve Net-Zero greenhouse gas emissions by 2050.

9. Employee Resources & Quick Links

Your Day-One Checklist & Resources To help you hit the ground running, here is a quick reference guide for your first week:

- ☐ **HR & Benefits Portal:** Complete your onboarding documents, emergency contact information, and review your compensation and benefits packages.
- ☐ **IT Setup:** Contact the IT Service Desk to secure your network logins, email access, and hardware setup.

- ☐ **The Employee Handbook:** Review our corporate policies, including our Diversity and Inclusion guidelines and our Whistleblowing framework.
- ☐ **Intellect App:** Download the app and register using your company email to access your free mental wellness resources.
- ☐ **Facility Map:** Familiarize yourself with your base hospital, parking arrangements, and emergency assembly points.